

Koninklijke Philips N.V.

Recommendation **SELL** ★ ★ ★ ★ ★

Price EUR 17.40 [as of market close Oct 20, 2023] **12-Mo. Target Price** EUR 16.00 **Report Currency** EUR **Investment Style** Mid-Cap Value

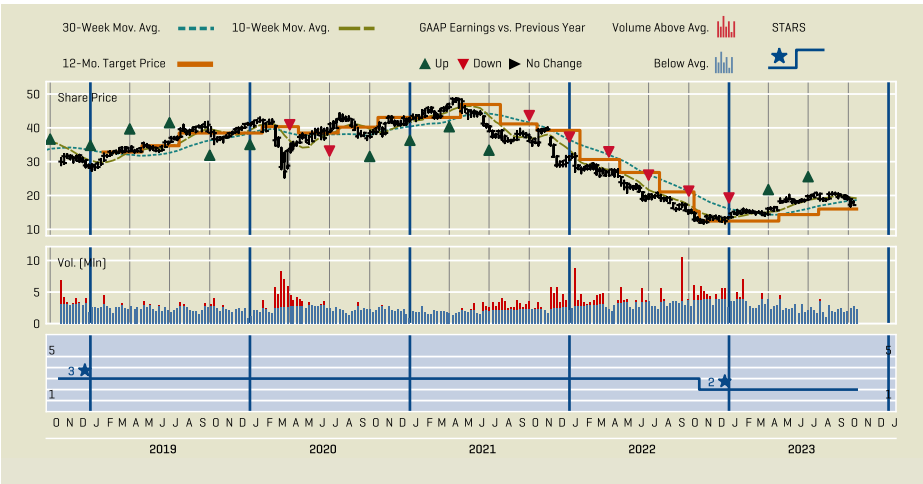
Equity Analyst Wan Nurhayati, CFA

GICS Sector Health Care **Sub-Industry** Health Care Equipment **Summary** Philips is a company focused on health technology with business segments in Diagnosis & Treatment, Connected Care, and Personal Health.

Key Stock Statistics (Source: CFRA, S&P Global Market Intelligence (SPGMI), Company Reports)

52-Wk Range	EUR 20.94 - 11.61	Oper.EPS2023E	EUR 1.16	Market Capitalization[B]	EUR 16.01	Beta	0.84
Trailing 12-Month EPS	EUR 1.12	Oper.EPS2024E	EUR 1.30	Yield [%]	N/A	3-yr Proj. EPS CAGR[%]	13
Trailing 12-Month P/E	15.5	P/E on Oper.EPS2023E	15.00	Dividend Rate/Share	N/A	SPGMI's Quality Ranking	A-
EUR 10K Invested 5 Yrs Ago	5,769.0	Common Shares Outstg.[M]	920.00	Trailing 12-Month Dividend	N/A	Institutional Ownership [%]	49.0

Price Performance



Source: CFRA, S&P Global Market Intelligence
Past performance is not an indication of future performance and should not be relied upon as such.
Analysis prepared by **Wan Nurhayati, CFA** on Sep 11, 2023 04:55 AM ET, when the stock traded at **EUR 19.52**.

Highlights

- ▶ We forecast Philips' (PHIA) sales to grow by ~3% in 2023, mainly driven by its biggest segment, Diagnostic & Treatment (D&T). In Q2 2023, comparable sales grew 9% Y/Y, driven by all segments with D&T growing 12% on continued supply chain improvement while Personal Health segment returned to growth (improving sellout trends, although consumer demand remains subdued). PHIA raised its 2023 comparable sales growth outlook in July 2023 (following the Q2 result) to mid-single digit from low-single digit.
- ▶ We forecast adjusted EBITA margin to improve to ~9% for 2023 from 7.4% in 2022, with the overall inflationary headwind being cushioned by productivity measures, largely in line with the guidance of at the upper end of the high-single-digit range. Adjusted EBITA margin expanded 4.9%-pts in Q2 2023 (H1: +3.7%-pts to 9.4%) as productivity and pricing mitigate the cost headwinds. According to PHIA, productivity measures (including reducing workforce – reduction of 6,600 roles as of H1 2023) delivered a total of EUR427 million in savings in H1 2023.
- ▶ We forecast EPS to improve to EUR1.16 for 2023 and EUR1.30 for 2024 on better sales and margin.

Investment Rationale/Risk

- ▶ Our call is 2-STARS [Sell]. We view the improved conditions against a very difficult 2022, along with the announced actions to restore performance [e.g., strengthen supply chain reliability, providing room for recovery in 2023]. Nevertheless, we continue to be cautious on the Respironics recall issue – ongoing investigation by the U.S. Department of Justice and discussions with the FDA regarding a proposed consent decree, where PHIA has not made any provisions in the accounts for these matters. While PHIA has reached an agreement to resolve all economic loss claims in the U.S. Multidistrict Litigation (MDL) related to Respironics recall, the agreement does not settle any personal injury or medical monitoring claims in the MDL; therefore, uncertainty remains in our view. A continued decline in order intake since Q3 2022, albeit from a higher base, also adds to uncertainty in our view, which could affect future sales growth.
- ▶ Key upside risks include better-than-expected order intake and better results from productivity measures.
- ▶ Our 12-month target price of EUR16 implies a 2023 P/E of 14x, below its 3-year mean of 17x, justified in our view to reflect the uncertainties related to Respironics recall.

Analyst's Risk Assessment

LOW **MEDIUM** **HIGH**

Our risk assessment reflects the company's geographically diversified customer base, countered by potential regulatory and litigation risks.

Revenue/Earnings Data

Revenue (Million EUR)					
	1Q	2Q	3Q	4Q	Year
2024	--	--	--	--	E 18,913
2023	4,167	4,470	--	--	E 18,362
2022	3,918	4,177	4,310	5,422	17,827
2021	3,827	4,230	4,156	4,944	17,156
2020	4,159	3,974	4,980	3,779	17,313
2019	4,151	4,671	4,702	5,958	17,147

Earnings Per Share (EUR)					
	1Q	2Q	3Q	4Q	Year
2024	--	--	--	--	E 1.30
2023	0.21	0.28	--	--	E 1.16
2022	0.14	0.13	0.24	0.39	0.92
2021	0.27	0.38	0.38	0.55	1.58
2020	0.17	0.34	0.57	0.90	1.90
2019	0.27	0.40	0.43	0.78	1.90

Fiscal Year ended Dec 31. EPS Estimates based on CFRA's Operating Earnings; historical earnings are adjusted. In periods where a different currency has been reported, this has been adjusted to match the current quoted currency.

Dividend Data

Amount [EUR]	Date Decl.	Ex-Div. Date	Stk. of Record	Payment Date
0.8137	Apr 07	May 12	May 13	Jun 08 '22
0.8137	Feb 17	May 10	May 11	Jun 09 '21
0.7975	Feb 01	May 13	May 14	Jun 13 '19
0.7506	Mar 12	May 07	May 08	Jun 06 '18
0.7506	Feb 03	May 15	May 16	Jun 09 '17
0.7506	Feb 24	May 18	May 17	Jun 10 '16

Dividends have been paid since 1997 . Source: Company reports
Past performance is not an indication of future performance and should not be relied as such.
Forecasts are not a reliable indicator of future performance.
Dividends paid in currencies other than the Trading currency have been accordingly converted for display purposes.

Koninklijke Philips N.V.

Business Summary Sep 11, 2023

COMPANY OVERVIEW: Koninklijke Philips N.V. [PHIA] is a health technology company with three main segments; Diagnostic & Treatment [51% of 2022 sales], Personal Health [20%], and Connected Care [25%]. “Other” segment makes up the remainder 4%.

(i) Diagnostic & Treatment segment comprises the Diagnostic Imaging, Ultrasound, and Image-Guided Therapy businesses.

(ii) Personal Health segment focuses on healthy living and preventive care. The segment comprises the Personal Care, Domestic Appliances, Oral Healthcare, and Mother & Child Care businesses.

(iii) Connected Care focuses on patient care solutions, advanced analytics, and patient and workflow optimization inside and outside the hospital. This segment comprises the Monitoring & Analytics, Therapeutic Care, Population Health Management, and Sleep & Respiratory Care businesses.

By geography segments, North America is the largest sales contributor (42% of Q4 2022 sales), followed by Growth Geographies, which consists of all geographies excluding the U.S., Canada, Western Europe, Australia, New Zealand, South Korea, Japan, and Israel [28%], Western Europe [21%], and Other Mature Geographies [9%].

STRATEGY: a) Focused organic growth - PHIA will focus investments to accelerate growth and margin expansion in Image Guided Therapy, Ultrasound, Monitoring, and Personal Health, where it has strong top positions; b) scalable people and patient-centric innovation; and c) reliable execution, prioritizing patient safety and quality, supply chain reliability, and a simplified operating model.

PRODUCTIVITY INITIATIVES: PHIA targets to deliver a total EUR2.0 billion in savings in the 2023-2025 period through various measures including simplifying organization with planned workforce reduction of 7,000 jobs by end 2023 and 10,000 jobs in total by 2025, R&D prioritization, procurement savings, and manufacturing footprint optimization.

FINANCIAL TARGETS:

(i) Year 2023: Mid-single digit comparable sales growth; adjusted EBITA margin at the upper end of high single-digit range; and free cash flow of EUR0.7-0.9 billion;

(ii) Medium-term 2025: Mid-single digit comparable sales growth; low-teens adjusted EBITA margin; and free cash flow of EUR1.4-1.6 billion;

(iii) Year 2025 and beyond: Mid-single digit comparable sales growth; Mid- to high-teens adjusted EBITA margin; and free cash flow of above EUR2 billion.

RESPIRONICS PRODUCT RECALL: On June 14, 2021, PHIA's subsidiary, Philips Respironics issued a voluntary recall notification in the U.S. and field safety notice outside the U.S. for certain sleep and respiratory care products related to the polyester-based polyurethane (PE-PUR) sound abatement foam in these devices. As of June 30, 2023, approximately 99% of the new replacement devices and repair kits required for the remediation of the registered affected devices have been produced.

Collective and individual civil complaints have been filed in various jurisdictions globally. The complaints variously allege economic loss, personal injury, and in some cases, the need for medical monitoring. In the U.S., putative economic loss and medical monitoring class actions and personal injury lawsuits have been consolidated into a multidistrict litigation [MDL] in Pennsylvania. In September 2023, PHIA reached an agreement to resolve all economic loss claims in the MDL. The final cost of the settlement may vary depending on multiple factors including how many patients participate in the settlement [a EUR575 million provision in connection with this has been booked in Q1 2023]. Subject to final Court approval, payments to class members under the settlement are not expected to begin until Q1 2024 at the earliest. The agreement, however, does not settle any personal injury or medical monitoring claims in the MDL. Philips Respironics is also subject to an investigation by the U.S. Department of Justice and remains in ongoing discussions with the FDA regarding a proposed consent decree. Given the uncertain nature of the relevant events, and of their potential financial and operational impact and associated obligations, if any, the company has not made any provisions in the accounts for these matters.

FINANCIAL TRENDS: Comparable sales grew by 3%-5% year-over-year over the 2017 to 2020 period, mostly driven by the Diagnostic & Treatment and Personal Health segments. However, PHIA posted lower comparable sales in 2021 [-1%] and 2022 [-3%], mainly hit by the intensified global supply chain challenges [primarily related to the shortage of electronic components], the postponement of equipment installations in hospitals related to Covid-19, and the impact of the product recall [Respironics]. Margin-wise, adjusted EBITA margin improved by 110 bps in 2017 and by 100 bps in 2018 on the back of productivity initiatives, in line with its target at the time. However, it failed to meet the target in 2019 after PHIA only managed to achieve a 10 bps margin improvement, partly impacted by the imposition of tariffs between the U.S. and China. Margin was flat in 2020 as the Covid-19 impact was offset by cost savings. Margin deteriorated further by 120 bps in 2021 and by 460 bps in 2022 due to the headwinds mentioned above. PHIA paid stable dividend of EUR0.80 per share from 2014 to 2017, and EUR0.85 per share from 2018 to 2021. For 2022, PHIA proposed an unchanged dividend of EUR0.85 per share, to be distributed in shares. PHIA's dividend policy is aimed at dividend stability and a pay-out ratio of 40% to 50% of continuing net income after adjustments.

Corporate information

Investor contact

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Website

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Officers

Executive VP, Chief ESG, Legal Officer & Member of the Board of Management M. J. van Ginneken	Executive VP, CFO & Member of the Board of Management A. Bhattacharya
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Executive VP & COO

W. Appelo

President, CEO & Chairman of the Board of Management
R. Jakobs

Board Members

A. M. Harrison	I. K. Nooyi
D. I. Pyott	P. A. Stoffels
E. Doherty	P. H. Loscher
F. Sijbesma	S. Chua
H. A. Verhagen	S. J. Poonen

Domicile

Netherlands

Auditor

Ernst & Young LLP

Founded

1891

Employees

71,519

Stockholders

N/A

Koninklijke Philips N.V.

Quantitative Evaluations						Expanded Ratio Analysis				
Fair Value Rank	NR	1	2	3	4	5	2022	2021	2020	2019
		LOWEST		HIGHEST			Price/Sales	0.66	1.66	2.22
		Based on CFRA's proprietary quantitative model, stocks are ranked from most overvalued [1] to most undervalued [5].					Price/EBITDA	17.67	19.98	13.96
							Price/Pretax Income	NM	56.05	31.72
							P/E Ratio	14.59	19.86	22.11
							Avg. Diluted Shares Outstg. [M]	881.62	909.65	916.63
							Figures based on fiscal year-end price			
Key Growth Rates and Averages										
Past Growth Rate [%]							1 Year	3 Years	5 Years	
		Net Income					NM	11.28		NM
		Sales					3.91	1.30		0.05
Ratio Analysis (Annual Avg.)										
		Net Margin [%]					NM	5.73		6.00
		% LT Debt to Capitalization					29.87	26.94		24.17
		Return on Equity [%]					-11.66	0.38		4.00
Fair Value Calculation		N/A								
Volatility	LOW		AVERAGE		HIGH					
Technical Evaluation	BEARISH	Since September, 2023, the technical indicators for PHIA NA have been BEARISH"								
Insider Activity	UNFAVORABLE		NEUTRAL		FAVORABLE					

Company Financials Fiscal year ending Dec 31											
Per Share Data (EUR)		2022	2021	2020	2019	2018	2017	2016	2015	2014	2013
Tangible Book Value		-0.14	0.86	1.64	1.18	0.66	1.62	0.67	-0.06	1.32	2.46
Free Cash Flow		-1.12	4.72	1.92	1.04	1.68	2.19	2.74	0.33	0.60	-0.01
Earnings		-1.84	0.67	1.08	1.06	1.37	0.84	0.83	0.16	0.24	1.10
Earnings (Normalized)		0.92	1.58	1.90	1.90	1.65	1.64	1.57	1.19	1.48	1.62
Dividends		N/A	0.85	0.85	N/A	0.83	0.78	0.78	0.78	0.78	0.78
Payout Ratio [%]		NM	14.52	0.08	38.82	36.79	23.17	22.79	47.76	70.36	23.27
Prices: High		32.48	48.80	44.39	41.84	37.54	33.89	27.30	26.27	26.56	25.22
Prices: Low		11.61	28.53	25.25	27.25	27.44	24.90	19.49	19.21	19.41	18.33
P/E Ratio: High		35.30	30.90	23.40	22.10	22.70	20.70	17.40	22.10	18.00	15.50
P/E Ratio: Low		12.60	18.10	13.30	14.40	16.60	15.20	12.40	16.20	13.10	11.30
Income Statement Analysis (Million EUR)											
Revenue		17,827	17,156	17,313	17,147	18,121	17,780	17,422	16,806	21,391	21,990
Operating Income		-85.00	809.00	1,685	1,720	1,965	1,749	1,688	546.00	679.00	1,858
Depreciation + Amortization		968.00	871.00	1,067	904.00	785.00	698.00	676.00	695.00	924.00	914.00
Interest Expense		234.00	156.00	169.00	173.00	165.00	185.00	295.00	273.00	231.00	252.00
Pretax Income		-1,731	509.00	1,211	1,247	1,503	1,377	1,034	328.00	247.00	1,500
Effective Tax Rate		6.50	-20.20	17.50	20.70	12.80	25.30	19.60	51.50	10.50	31.10
Net Income		NM	3,319	1,187	1,167	1,090	1,657	1,448	624.00	415.00	1,169
Net Income (Normalized)		NM	419.80	940.10	998.10	1,127	811.00	885.10	149.80	282.10	1,005
Balance Sheet and Other Financial Data (Million EUR)											
Cash		1,183	2,305	3,226	1,426	2,124	1,941	2,435	1,766	1,873	2,475
Current Assets		10,259	10,347	11,227	9,459	9,572	10,117	14,075	12,693	12,391	11,474
Total Assets		30,688	30,961	27,713	27,016	26,019	25,315	32,270	30,976	28,352	26,559
Current Liabilities		7,934	7,450	7,735	6,978	7,943	6,866	10,473	9,959	8,676	8,476
Long Term Debt		6,418	5,510	4,757	3,830	3,191	3,849	3,827	3,950	3,571	3,164
Total Capital		21,484	21,454	18,835	18,072	16,938	16,739	19,059	17,540	15,072	15,128
Capital Expenditures		444.00	397.00	485.00	486.00	422.00	420.00	360.00	432.00	437.00	482.00
Cash from Operations		-185.00	5,032	2,640	1,911	2,427	2,933	3,321	1,135	1,408	844.00
Current Ratio		1.29	1.39	1.45	1.36	1.21	1.47	1.34	1.27	1.43	1.35
% Long Term Debt of Capitalization		29.90	25.70	25.30	21.20	18.80	23.00	20.10	22.50	23.70	20.90
% Net Income of Revenue		-9.00	19.30	6.90	6.80	6.00	9.30	8.30	3.70	1.90	5.30
% Return on Assets		-0.17	1.72	3.85	4.05	4.78	3.80	3.34	1.15	1.55	4.17
% Return on Equity		-11.70	4.60	8.10	8.00	10.90	8.10	6.60	1.40	2.00	9.20

Source: S&P Global Market Intelligence. Data may be preliminary or restated; before results of discontinued operations/special items. Per share data adjusted for stock dividends; EPS diluted. E-Estimated. NA-Not Available. NM-Not Meaningful. NR-Not Ranked. UR-Under Review.

Koninklijke Philips N.V.

Industry Outlook

Our sector recommendation for EMEA Health Care is Overweight. Year-to-date through September 30, 2023, the S&P Europe 350 Health Care Index was up 7.1%, outperforming the broader market [6.5% increase in the broader S&P Europe 350 Index], led by the Pharmaceutical, Biotechnology, and Life Science sub-sector. The sector is trading at ~16x 2024 P/E, within historical average range of 16x-17x, which is still decent in our view considering the higher EPS growth as compared to the market [S&P Capital IQ consensus estimates: 2023 EPS growth of 4.3% vs. -0.4% for S&P Euro 350; 2024 EPS growth of 12.0% vs. +6.4% for S&P Euro 350]. We see demand for health care to be generally resilient in the event of worsening macroeconomy. We expect volume growth and cost savings to drive the sector earnings, partly offset by continued pricing pressure, lower contribution from Covid-19-related sales, and overall cost inflation.

For the Pharmaceutical, Biotechnology, and Life Science sub-sector, we expect the rollout of new launches (we see the rollout of GSK’s vaccine for older adults against RSV with potential sales of USD1.9 billion by 2028, to be in focus) and core products (high demand for obesity treatment to continue being under the spotlight) to be the key growth drivers, providing some cushion to the lower Covid-19-related sales and the impact of lower early-stage funding in biotech. Margin-wise, we expect efficiency measures and better product mix to cushion price and cost pressure. In terms of the Medicare Drug Price Negotiation, we view the financial impact from the first round of negotiations to be limited as the selected drugs no longer make up a large portion of the companies’ portfolio (those in the list include AstraZeneca’s Farxiga, Novartis’ Entresto, and Novo Nordisk’s Fiasp and NovoRapid). Nevertheless, since the number of drugs selected for negotiation will increase each year, other blockbuster drugs could be added to the list in the future. Within our coverage, Novo Nordisk tops the sales and core EPS growth forecasts over 2023 and 2024 supported by the strong demand for its GLP-1 based diabetes and obesity treatments. At the

opposite end, we see lower earnings for Bayer (weaker Crop Science division due to the softening glyphosate prices and continued pricing pressure in pharmaceutical division).

For the Healthcare Equipment Services sub-sector, we see room for demand and margin recovery in 2023 and 2024 on the back of easing supply chain constraints and moderating energy prices (vs. 2022), though we are mindful of the wage inflation and pricing pressure from the implementation of the volume-based procurement program (VBP) in China. Within our coverage, Alcon (solid key products growth) and Philips (low comparison base after a very weak 2022) top the EPS growth forecast. That said, we are cautious on Philips due to the product recall related risk.

/ Wan Nurhayati, CFA

Sub-Industry: Health Care Equipment Peer Group*: Health Care Equipment												
Peer Group	Stock Symbol	Exchange	Currency	Recent Stock Price	Stk. Mkt. Cap. (M)	30-Day Price Chg. (%)	1-Year Price Chg. (%)	P/E Ratio	Fair Value Calc.	Yield (%)	Return on Equity (%)	LTD to Cap (%)
Koninklijke Philips N.V.	PHIA NA	ENXTAM	EUR	17.40	15,979.0	-12.6	33.4	16.0	N/A	N/A	-15.1	30.1
Coloplast	COLOB DC	CPSE	DKK	729.40	164,158.0	-5.4	-10.2	32.0	N/A	2.7	69.5	57.3
Getinge	GETI B	N/A	N/A	191.45	52,031.0	-5.2	-7.7	24.0	N/A	2.2	7.3	11.5
Smith & Nephew	SN LN	LSE	USD	9.21	8,026.0	-12.4	-9.1	14.0	N/A	3.3	4.1	30.1
Sonova holding	SOON SW	SWX	CHF	210.50	12,551.0	-3.4	-9.9	20.0	N/A	2.2	28.2	37.4
Stryker Corp	SYK	NYSE	USD	265.69	100,903.0	-8.1	23.9	27.0	N/A	1.1	16.4	36.2
Zimmer Biomet Holdings Inc.	ZBH	NYSE	USD	104.56	21,829.0	-13.1	-1.7	15.0	N/A	0.9	4.1	29.5

*For Peer Groups with more than 10 companies or stocks, selection of issues is based on market capitalization.
NA-Not Available; NM-Not Meaningful.
Note: Peers are selected based on Global Industry Classification Standards and market capitalization. The peer group list includes companies with similar characteristics, but may not include all the companies within the same industry and/or that engage in the same line of business.

Koninklijke Philips N.V.

Analyst Research Notes and other Company News

September 11, 2023

02:50 AM ET... CFRA Keeps Sell Opinion on Shares of Philips [PHIA NA 19.52**]: We keep our Sell opinion on Philips [PHIA] with the same target price of EUR16, implying a 2023 P/E of 14x, below its 3-year mean of 17x, justified in our view to reflect the uncertainty related to Respiroics recall. In September 2023, PHIA reached an agreement to resolve all economic loss claims in the U.S. Multidistrict Litigation [MDL] related to the Respiroics recall. The final cost of the settlement may vary depending on multiple factors, including how many patients participate in the settlement. We note that PHIA has made a EUR575 million provision in connection with this back in Q1 2023. The agreement, however, does not settle any personal injury or medical monitoring claims in the MDL; therefore, uncertainty remains in our view. In addition, the company is still subject to an investigation by the U.S. Department of Justice and remains in ongoing discussions with the U.S. FDA regarding a proposed consent decree. / Wan Nurhayati, CFA

July 25, 2023

03:26 AM ET... CFRA Keeps Sell Opinion on Shares of Philips [PHIA NA 19.63**]: We adjust our target price for Philips [PHIA] to EUR16 from EUR15 as we raise our EPS estimates to EUR1.16 [EUR1.09] for 2023 and to EUR1.30 [EUR1.25] for 2024 to account for the outlook upgrade. This implies a 2023 P/E of 14x, below its 3-year mean of 18x, justified in our view to reflect the uncertainty related to the Respiroics recall. PHIA raised its full year 2023 outlook after posting a 9% comparable sales growth and 4.9%-pts adjusted EBITA margin expansion in Q2 2023, driven by all segments. PHIA guided for a mid-single-digit comparable sales growth [from low-single-digit] while adjusted EBITA margin is expected to be at the upper end of the high-single-digit range. While we are encouraged by the improving conditions [vs a difficult 2022], we continue to be cautious on the Respiroics recall issue [ongoing investigation by the U.S. Department of Justice and discussions with the FDA on a proposed consent decree]. A continued decline in order intake also adds to uncertainty in our view. Maintain Sell. / Wan Nurhayati, CFA

April 25, 2023

04:06 AM ET... CFRA Keeps Sell Opinion on Shares of Philips [PHIA NA 19.43**]: We adjust our target price for Philips [PHIA] to EUR15 from EUR13, implying a 2023 P/E of 14x, below its 3-year mean of 18x, justified in our view to reflect the uncertainties related to the Respiroics recall. The easing of supply chain constraints helped PHIA to beat the S&P Capital IQ consensus estimates in Q1 2023, which saw comparable sales growing 6% Y/Y and adjusted EBITDA margin improving 2.4%-pts to 8.6%. The low single-digit comparable sales growth and high single-digit adjusted EBITA margin guidance for 2023 were left unchanged and we keep our EPS estimates. In Q1 2023, PHIA made a EUR575 million provision in connection with an anticipated resolution of the Respiroics recall-related economic loss class action in the U.S. However, uncertainties remain in our view with the company being investigated by the U.S. Department of Justice and remains in ongoing discussions with the FDA regarding a proposed consent decree. PHIA has not made any provisions in the accounts for these matters. Maintain Sell. / Wan Nurhayati, CFA

January 31, 2023

02:10 AM ET... CFRA Keeps Sell Opinion on Shares of Philips [PHIA NA 16.64**]: We keep our Sell opinion on Philips [PHIA] with the same target price of EUR13, implying a 2023 P/E of 12x. This is below its 3-year mean of 18x, justified in our view to reflect litigation concern. 2022 results beat our and S&P Capital IQ estimates as component supply headwind eased in Q4. For 2023, PHIA guides for a low single-digit comparable sales growth and high single-digit adjusted EBITA margin [2022: -3% and 7.4%, respectively] with productivity and pricing action offsetting cost inflation and investments. Easing of supply constraints along with its action plans [including an additional 6,000 jobs cut] provides room for improvement ahead, but we highlight execution remains a key risk. PHIA also flags supply chain situations remain challenging and expects improvements to be gradual, while litigation risk from product recall remains a main concern in our view. We adjust our 2023 EPS forecast to EUR1.09 from EUR1.15 to account for the outlook and introduce our 2024 EPS estimate of EUR1.25. / Wan Nurhayati, CFA

October 25, 2022

04:33 AM ET... CFRA Lowers Opinion on Shares of Philips to Sell from Hold [PHIA NA 13.06**]: We lower our opinion on Philips [PHIA] to Sell from Hold with a target price of EUR13 [EUR16] as we view the multiple headwinds ranging from supply chain disruptions

to product recall will likely remain an overhang issue and could put its 2023-2025 financial targets at risk. This implies a 2023 P/E of 11x, below its 3-year mean of 19x, justified in our view to reflect the ongoing headwinds. Our EPS estimates remain unchanged. Q3 2022 comparable sales fell 5% and adjusted EBITA margin declined by 7.5%-pts impacted by operational and supply chain issues [in line with the update provided on October 12]. PHIA also posted a goodwill impairment for its Sleep & Respiratory business during the quarter, which led to a net loss of EUR1.3 billion in Q3. Given the weak result, PHIA announced several actions to restore performance including reducing its workforce by ~4,000 jobs [estimated annual cost savings of ~EUR300 million] and improving supply chain, although execution remains a key risk in our view. / Wan Nurhayati, CFA

October 13, 2022

05:42 AM ET... CFRA Keeps Hold Opinion on Shares of Philips [PHIA NA 13.58***]: We keep our Hold opinion on Philips [PHIA] and lower our target price to EUR16 [from EUR22] as we cut our core EPS estimates to EUR0.75 [from EUR1.00] for 2022 and to EUR1.15 [from EUR1.45] for 2023 in view of the latest update where PHIA said that worse-than-expected supply chain issues impacted its Q3 2022 performance. This implies a 2023 P/E of 14x, below its historical mean of 19x, justified in our view to reflect the ongoing headwinds. We expect 2022 sales to be slightly lower Y/Y, with PHIA expecting comparable sales to decline by ~5% in Q3 and "mid-single digit" in Q4 due to the challenges. PHIA will also record a EUR1.3 billion goodwill impairment in Q3 for its Sleep & Respiratory business [partly to reflect the revised forecast of the estimated impact of the proposed consent decree]. PHIA will report its Q3 2022 result on October 24, 2022. We remain cautious despite the low valuation as we view the supply chain disruption and product recall issue to continue being an overhang issue for PHIA. / Wan Nurhayati, CFA

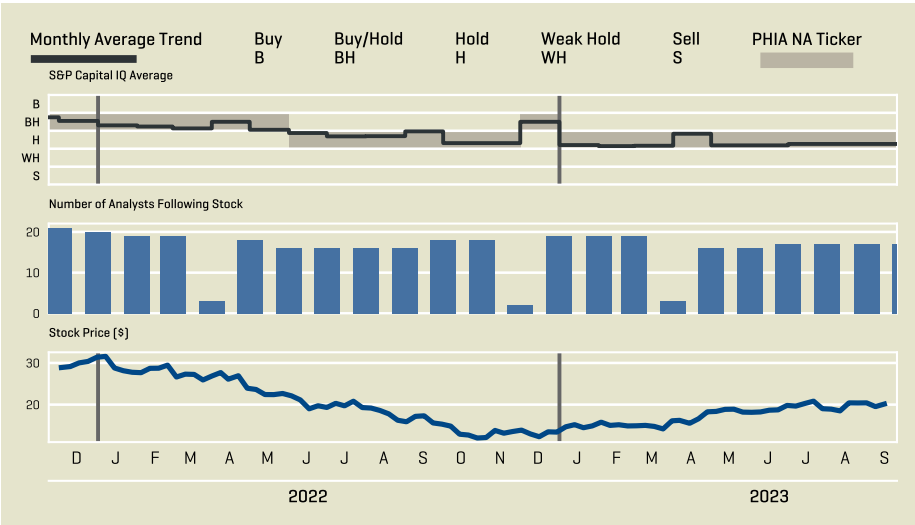
July 26, 2022

03:48 AM ET... CFRA Keeps Hold Opinion on Shares of Philips [PHIA NA 20.08***]: We lower our target price for Philips [PHIA] to EUR22 from EUR28 as we trim our EPS estimates to EUR1.00 [EUR1.55] for 2022 and to EUR1.45 [EUR1.80] for 2023 in view of the latest results and guidance cut. This implies a 2022 P/E of 22x, in line with its historical mean. The impact of Covid-19 lockdowns in China, along with supply chain issues, product recall [Respiroics], and inflation headwinds, dragged PHIA's Q2 2022 results with comparable sales falling 7% Y/Y and adjusted EBITA margin contracting 7.4%-pts to 5.2%. PHIA lowered its 2022 comparable sales growth guidance to 1%-3% from 3%-5% and expects adjusted EBITA margin of ~10% [2021: 12%], with expected recovery in the second half of the year [PHIA said it has stepped up actions on productivity, pricing, and strengthening supply chain resilience to mitigate the ongoing headwinds]. We keep our Hold opinion as we view the risks related to Respiroics and supply chain to continue being an overhang issue for the stock. / Wan Nurhayati, CFA

Note: Research notes reflect CFRA's published opinions and analysis on the stock at the time the note was published. The note reflects the views of the equity analyst as of the date and time indicated in the note, and may not reflect CFRA's current view on the company.

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Analysts Recommendations



	No. of Recommendations	% of Total	1 Mo.Prior	3 Mos.Prior
Buy	1	6	1	1
Buy/Hold	3	18	3	3
Hold	8	47	8	8
Weak hold	1	6	1	1
Sell	4	24	4	4
No Opinion	0	0	0	0
Total	17	100	17	17

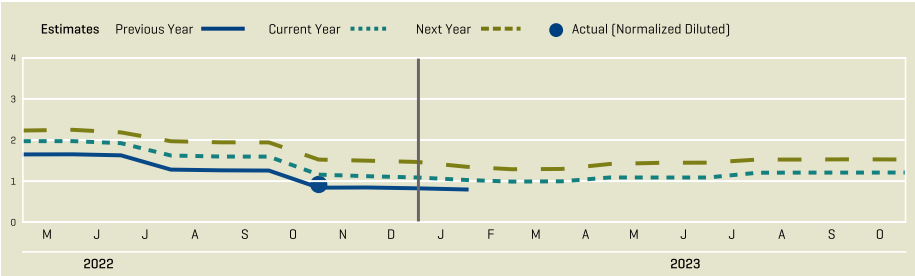
Wall Street Consensus Opinion

Hold

Wall Street Consensus vs. Performance

For fiscal year 2023, analysts estimate that PHIA NA will earn EUR 1.21. For fiscal year 2024, analysts estimate that PHIA NA's earnings per share will grow by 26.13% to EUR 1.53.

Wall Street Consensus Estimates



Fiscal Year	Avg Est.	High Est.	Low Est.	# of Est.	Est. P/E
2024	1.53	1.84	1.33	10	11.46
2023	1.21	1.40	1.02	10	14.45
2024 vs. 2023	▲ 26%	▲ 31%	▲ 30%	N/A%	▼ -21%
Q3'24	N/A	N/A	N/A	N/A	N/A
Q3'23	0.30	0.35	0.26	3	58.90
Q3'24 vs. Q3'23	N/A%	N/A%	N/A%	N/A%	N/A%

Forecasts are not reliable indicator of future performance.
Note: A company's earnings outlook plays a major part in any investment decision. S&P Global Market Intelligence organizes the earnings estimates of over 2,300 Wall Street analysts, and provides their consensus of earnings over the next two years, as well as how those earnings estimates have changed over time. Note that the information provided in relation to consensus estimates is not intended to predict actual results and should not be taken as a reliable indicator of future performance.
Note: For all tables, graphs and charts in this report that do not cite any reference or source, the source is S&P Global Market Intelligence.

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Glossary

STARS

Since January 1, 1987, CFRA Equity and Fund Research Services, and its predecessor S&P Capital IQ Equity Research has ranked a universe of U.S. common stocks, ADRs [American Depositary Receipts], and ADSs [American Depositary Shares] based on a given equity's potential for future performance. Similarly, we have ranked Asian and European equities since June 30, 2002. Under proprietary STARS [Stock Appreciation Ranking System], equity analysts rank equities according to their individual forecast of an equity's future total return potential versus the expected total return of a relevant benchmark [e.g., a regional index (MSCI AC Asia Pacific Index, MSCI AC Europe Index or S&P 500® Index)], based on a 12-month time horizon. STARS was designed to help investors looking to put their investment decisions in perspective. Data used to assist in determining the STARS ranking may be the result of the analyst's own models as well as internal proprietary models resulting from dynamic data inputs.

S&P Global Market Intelligence's Quality Ranking

[also known as **S&P Capital IQ Earnings & Dividend Rankings**] - Growth and S&P Capital IQ Earnings & Dividend Rankings stability of earnings and dividends are deemed key elements in establishing S&P Global Market Intelligence's earnings and dividend rankings for common stocks, which are designed to capsize the nature of this record in a single symbol. It should be noted, however, that the process also takes into consideration certain adjustments and modifications deemed desirable in establishing such rankings. The final score for each stock is measured against a scoring matrix determined by analysis of the scores of a large and representative sample of stocks. The range of scores in the array of this sample has been aligned with the following ladder of rankings:

A+ Highest	B Below Average
A High	B- Lower
A Above	C Lowest
B+ Average	D In Reorganization
NC Not Ranked	

EPS Estimates

CFRA's earnings per share (EPS) estimates reflect analyst projections of future EPS from continuing operations, and generally exclude various items that are viewed as special, non-recurring, or extraordinary. Also, EPS estimates reflect either forecasts of equity analysts; or, the consensus [average] EPS estimate, which are independently compiled by S&P Global Market Intelligence, a data provider to CFRA. Among the items typically excluded from EPS estimates are asset sale gains; impairment, restructuring or merger-related charges; legal and insurance settlements; in process research and development expenses; gains or losses on the extinguishment of debt; the cumulative effect of accounting changes; and earnings related to operations that have been classified by the company as discontinued. The inclusion of some items, such as stock option expense and recurring types of other charges, may vary, and depend on such factors as industry practice, analyst judgment, and the extent to which some types of data is disclosed by companies.

12-Month Target Price

The equity analyst's projection of the market price a given security will command 12 months hence, based on a combination of intrinsic, relative, and private market valuation metrics, including Fair Value.

Abbreviations Used in Equity Research Reports

- CAGR - Compound Annual Growth Rate
- CAPEX - Capital Expenditures
- CY - Calendar Year
- DCF - Discounted Cash Flow
- DDM - Dividend Discount Model
- EBIT - Earnings Before Interest and Taxes
- EBITDA - Earnings Before Interest, Taxes, Depreciation & Amortization
- EPS - Earnings Per Share
- EV - Enterprise Value
- FCF - Free Cash Flow
- FFO - Funds From Operations
- FY - Fiscal Year
- P/E - Price/Earnings
- P/NAV - Price to Net Asset Value
- PEG Ratio - P/E-to-Growth Ratio
- PV - Present Value
- R&D - Research & Development
- ROCE - Return on Capital Employed
- ROE Return on Equity
- ROI - Return on Investment
- ROIC - Return on Invested Capital
- ROA - Return on Assets
- SG&A - Selling, General & Administrative Expenses
- SOTP - Sum-of-The-Parts
- WACC - Weighted Average Cost of Capital

Dividends on American Depositary Receipts (ADRs) and American Depositary Shares (ADSs) are net of taxes (paid in the country of origin).

Qualitative Risk Assessment

Reflects an equity analyst's view of a given company's operational risk, or the risk of a firm's ability to continue as an ongoing concern. The Qualitative Risk Assessment is a relative ranking to the U.S. STARS universe, and should be reflective of risk factors related to a company's operations, as opposed to risk and volatility measures associated with share prices. For an ETF this reflects on a capitalization-weighted basis, the average qualitative risk assessment assigned to holdings of the fund.

STARS Ranking system and definition:

★★★★★ 5-STARS (Strong Buy):

Total return is expected to outperform the total return of a relevant benchmark, by a notable margin over the coming 12 months, with shares rising in price on an absolute basis.

★★★★★ 4-STARS (Buy):

Total return is expected to outperform the total return of a relevant benchmark over the coming 12 months.

★★★★★ 3-STARS (Hold):

Total return is expected to closely approximate the total return of a relevant benchmark over the coming 12 months.

★★★★★ 2-STARS (Sell):

Total return is expected to underperform the total return of a relevant benchmark over the coming 12 months.

★★★★★ 1-STAR (Strong Sell):

Total return is expected to underperform the total return of a relevant benchmark by a notable margin over the coming 12 months, with shares falling in price on an absolute basis.

Relevant benchmarks:

In North America, the relevant benchmark is the S&P 500 Index, in Europe and in Asia, the relevant benchmarks are the MSCI AC Europe Index and the MSCI AC Asia Pacific Index, respectively.



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Stocks are ranked in accordance with the following ranking methodologies:

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Quantitative Stock Reports:

Quantitative rankings are determined by ranking a universe of common stocks based on 5 measures or model categories: Valuation, Quality, Growth, Street Sentiment, and Price Momentum. In the U.S., a sixth sub-category for Financial Health will also be displayed. Percentile scores are used to compare each company to all other companies in the same universe for each model category. The five [six] model category scores are then weighted and rolled up into a single percentile ranking for that company. For reports containing quantitative rankings refer to the Glossary section seof the report for detailed methodology and the definition of Quantitative rankings.

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STARS Stock Reports:

Global STARS Distribution as of September 30, 2023

Ranking	North America	Europe	Asia	Global
Buy	36.8%	34.5%	41.6%	37.4%
Hold	53.8%	51.2%	50.3%	52.6%
Sell	9.4%	14.3%	8.1%	10.1%
Total	100.0%	100.0%	100.0%	100.0%

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